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Business Environment

(PPT-1)

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Points to be Discussed in this session

- Features influencing

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- Business Environment

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- Importance

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Component

- Types of

Business Environment

Understanding the business environment is crucial for any organization's success.

It encompasses all factors that can impact an organization's performance.



Factors Influencing the Business Environment



Economic Factors

Economic growth, inflation, interest rates, and unemployment.



Political Factors

Government policies, regulations, and political stability.



Legal Factors

Laws and regulations that govern business operations.

Factors Influencing the Business Environment



Social Factors

Demographics, cultural trends, and consumer preferences.



Environmental Factors

Sustainability, climate change, and resource availability.



Competitive Factors

The nature and intensity of competition within the industry.

Importance of Business Environment

- 1 Strategic Planning**
Understanding the environment helps organizations to develop effective strategies.
- 2 Operational Efficiency**
Improves business processes and resource allocation.
- 3 Competitive Advantage**
Provides opportunities to differentiate and outperform competitors.
- 4 Compliance and Regulation**
Ensures compliance with all relevant laws and regulations.





Importance of Business Environment

1

Customer Satisfaction

Understanding customer needs and preferences is crucial.

2

Financial Performance

Strong financial performance is essential for long-term survival.

3

Growth and Expansion

A deep understanding of the environment enables growth and expansion.

4

Reputation Management

Maintaining a positive reputation is critical.

Business Environment Factors

1

Internal Factors

Strengths, weaknesses, resources, and capabilities.

2

External Factors

Opportunities and threats that arise from the surrounding environment.



Types or Components of Business Environment

Internal

Environment

The internal environment consists of factors within the organization.

- Organizational structure
- Culture
- Human Resources
- Technology
- Finance

External

Environment

The external environment consists of factors outside the organization.

- Economic factors
- Political factors
- Legal factors
- Technological factors
- Social factors
- Environmental factors
- Competitive factors
- Global factors